

ACTIVE STRATEGIES

OCTOBER 2026

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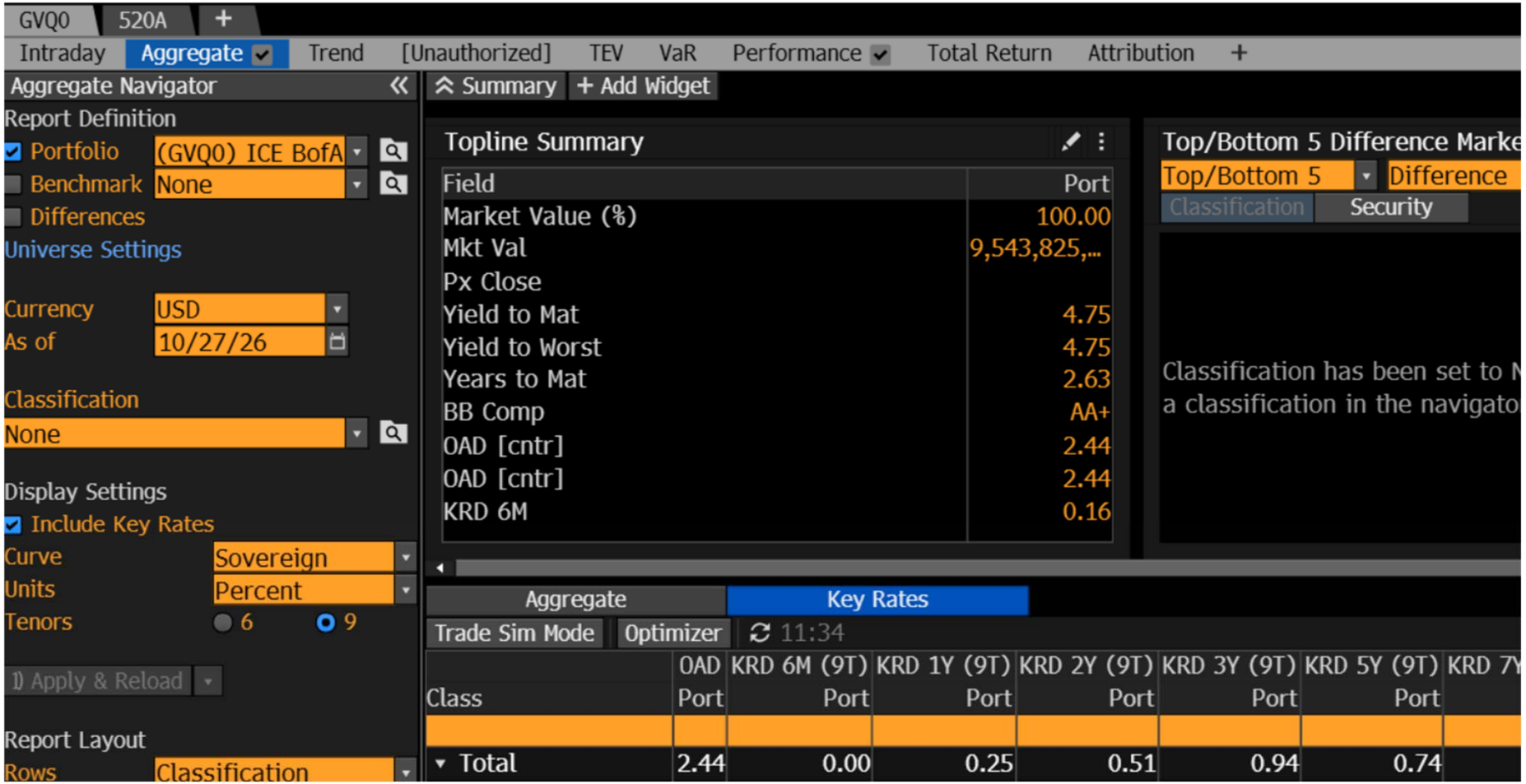
BMK: ICE BOFA 1-5 YEAR UST INDEX

ICE BofA 1-5 Year US Treasury Index — Inception Date 01/31/1978

10/27/2026 | Currency USD | Calculation Conventional

Projected Rebalancing			Oct Market Change			9/30 Rebalancing	
Proj Nov Statistics	Projected change		Oct Index 10/27/2026	Oct Index 9/30/2026	MTD Chg 10/27/2026	Sep Index 9/30/2026	Rebal Chg 9/30/2026
Returns							
		Total Return Value Returns	1,365.479	1,354.476	11.003		
Valuations (Scale MM)							
154	0	# of Issues	154	154	0	154	0
9,848,752	32,141	Face Value	9,816,611	9,816,611	0	9,796,923	19,688
74,224	132	Accrued Interest	88,718	70,109	18,610	70,132	-24
0	-22,764	Cash	4,684	0	4,684	21,271	-21,271
9,558,215	10,936	Full Market Value	9,543,826	9,466,870	76,956	9,470,691	-3,821
54.75	-0.15	% of G0Q0	54.90	55.52	-0.62	55.90	-0.39
Yield							
4.77	0.02	Effective Yield	4.75	4.92	-0.17	4.90	0.02
4.77	0.02	Yield to Worst	4.75	4.92	-0.17	4.90	0.02
4.77	0.02	Yield to Maturity	4.75	4.92	-0.17	4.90	0.02
Spread (in Semi-Annual Terms)							
0	0	To Worst (vs Govt)	0	0	0	0	0
0	0	OAS (vs Govt)	-1	0	-1	0	0
19	1	Swap OAS	17	15	2	15	0
18	1	Asset Swap	16	15	1	14	1
Duration							
2.49	0.06	Effective Duration	2.44	2.50	-0.07	2.44	0.07
2.48	0.06	Spread Duration	2.43	2.50	-0.07	2.43	0.07

GVQ0 –KEY RISK DIMENSIONS (PORT)



ACTIVE STRATEGIES

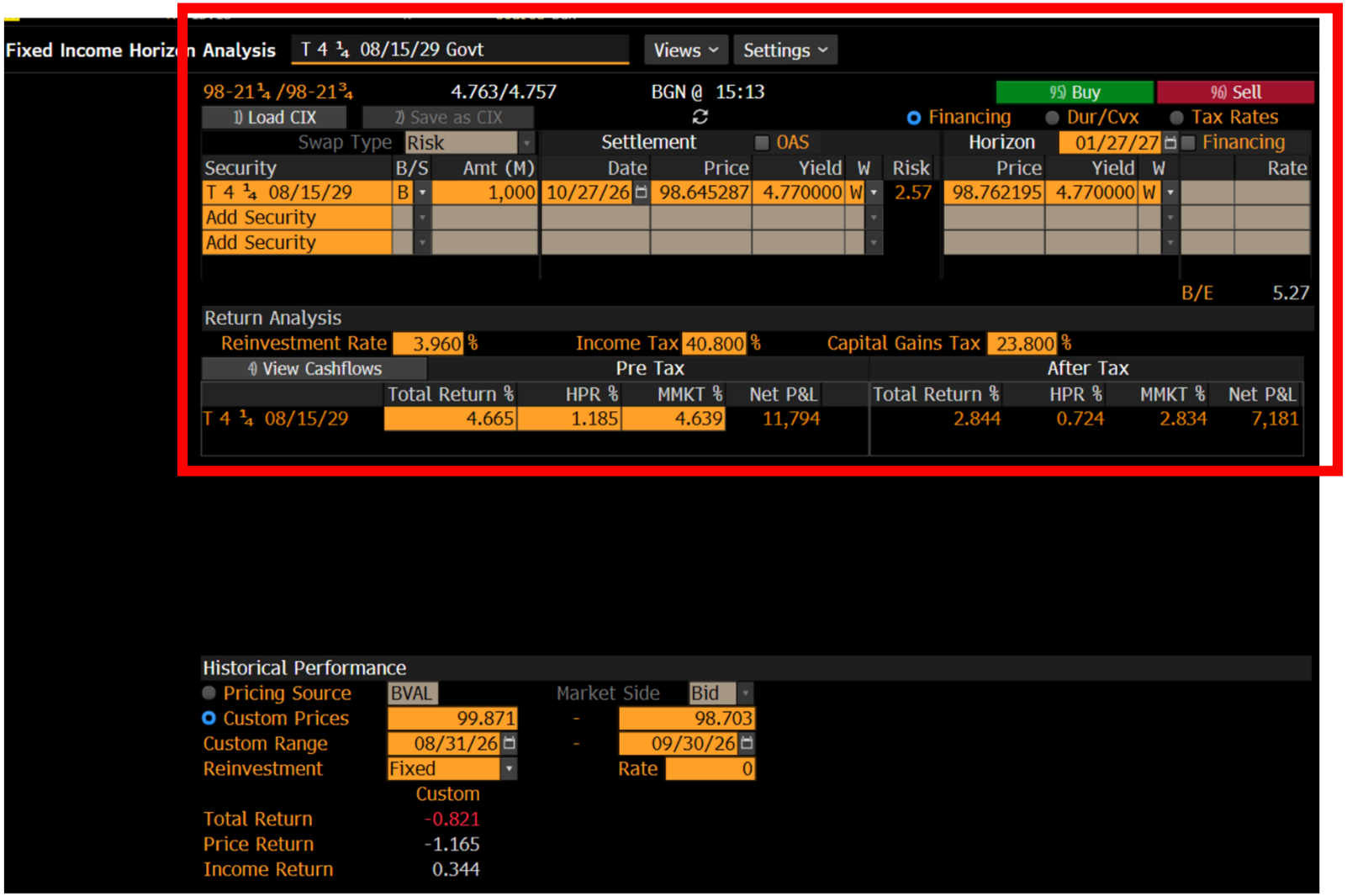
Duration and curve strategies, credit overlay and FX hedged government bonds

- Assume that base currency is US dollars
- Benchmark is ICE BofA 1-5 Year US Treasury Index (GVQ0)
- Strategy 1: buy 3-year US Treasury Notes at a yield to maturing of 4.82%
- Strategy 2: buy 3-year HK Government International Bond denominated in USD
- Strategy 3: buy 10-year US Treasury Notes at a yield of 4.99%
- Strategy 4: Buy 10-year Japanese Government Bonds, currency hedged to USD

UST 3-YEAR NOTE RETURN SEPTEMBER 2026

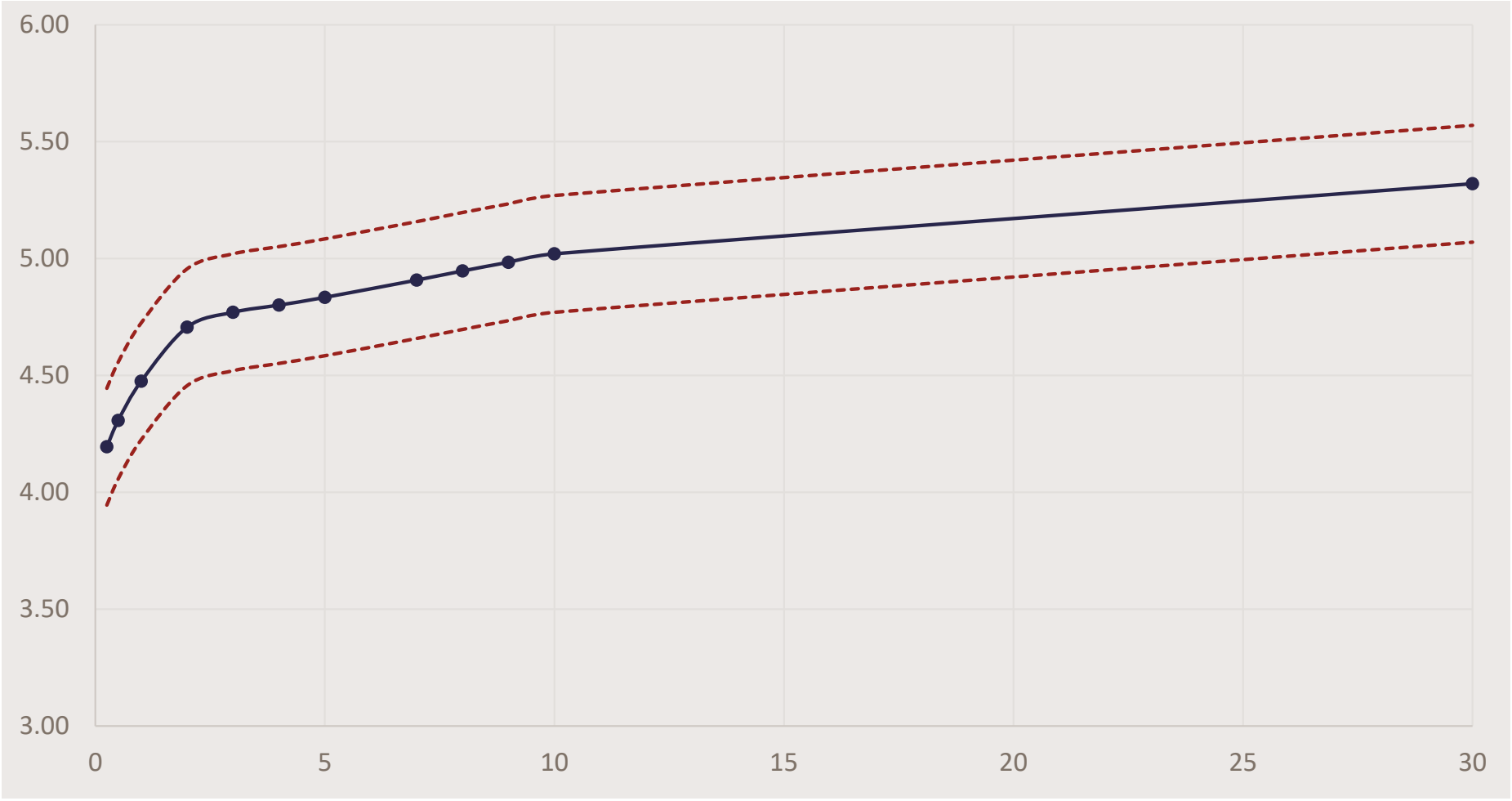


UST 3-YEAR NOTE 3-MONTH PROJ. RETURN



PARALLEL YIELD CURVE MOVE

What is the projected portfolio return for a +/- 25bp yield curve move?



BULLET VERSUS BARBELL STRATEGIES

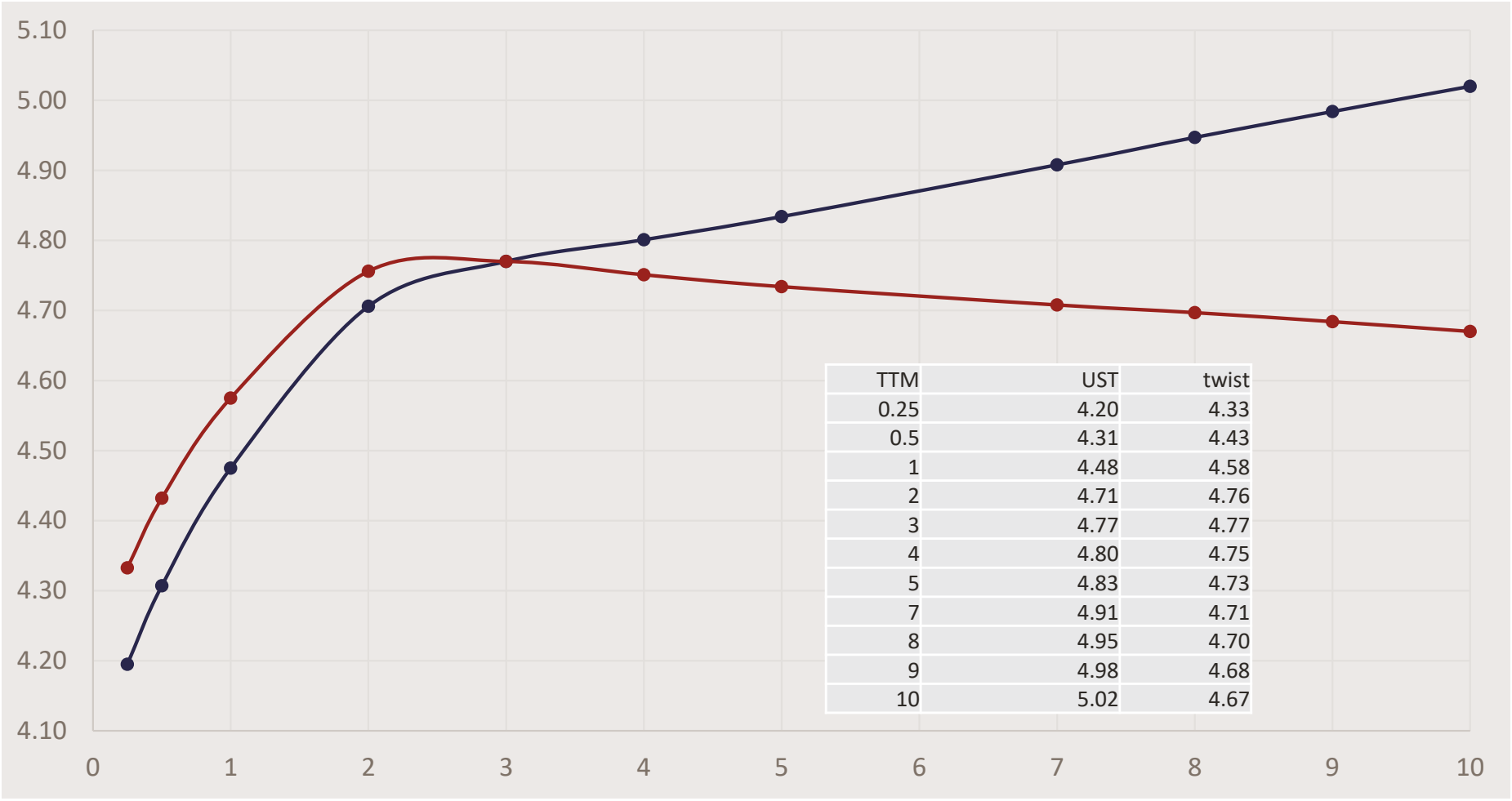
A parallel move in the yield curve generates approximately the same return for each strategy

			3-month horizon returns					
				Current	Projected	Return	Annualised	
			Duration	Yield	Yield			
Portfolio 1	100%	UST 3YR	2.73	4.77	4.77	1.20	4.72	unch
					5.02	0.57	2.25	+25bp
					4.52	1.83	7.22	-25bp
Portfolio 2	37%	IFC Float 10/22/30	0.00	4.20	4.20	1.05	4.22	
	63%	UST 5YR	4.31	4.81	4.81	1.21	4.75	
						1.15	4.69	unch
	37%	IFC Float 10/22/30	0.00	4.20	4.45	1.08	4.22	
	63%	UST 5YR	4.31	4.81	5.06	0.18	0.72	
						0.51	2.06	+25bp
	37%	IFC Float 10/22/30	0.00	4.20	3.95	1.02	4.22	
	63%	UST 5YR	4.31	4.81	4.56	2.24	9.27	
						1.79	7.36	-25bp



YIELD CURVE TWIST

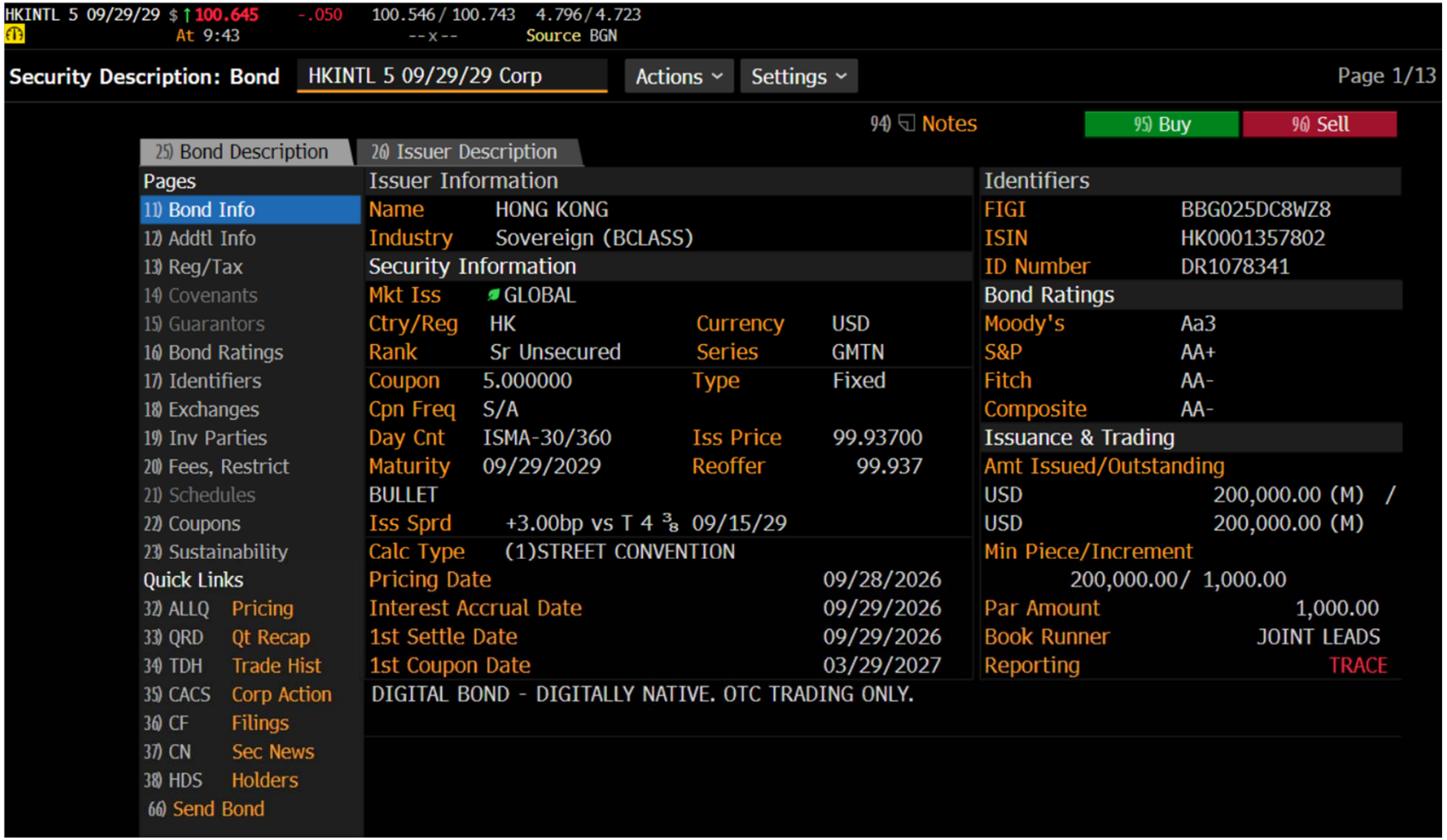
In this scenario short dated yields rise while longer dated decline



TTM	UST	twist
0.25	4.20	4.33
0.5	4.31	4.43
1	4.48	4.58
2	4.71	4.76
3	4.77	4.77
4	4.80	4.75
5	4.83	4.73
7	4.91	4.71
8	4.95	4.70
9	4.98	4.68
10	5.02	4.67

			3-month horizon returns					
				Current	Projected	Return	Annualised	
			Duration	Yield	Yield			
Portfolio 1	100%	UST 3YR	2.73	4.77	4.77	1.20	4.72	twist
Portfolio 2	37%	IFC Float 10/22/30	0.00	4.20	4.33	1.07	4.33	
	63%	UST 5YR	4.31	4.83	4.73	1.64	6.47	
						1.43	5.84	twist
					Alpha	0.23		

HK GOVT INTERNATIONAL BOND



HONG KONG 3YR VERSUS UST 3YR

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

HKINTL 5 09/29/29 $ ↑100.695 +.004 100.596 / 100.793 4.778 / 4.705
At 11:29 --x-- Source BGN

Fixed Income Horizon Analysis HKINTL 5 09/29/29 Corp Views Settings

93.931/94.156 5.751/5.693 IBVL @ 15:23 95) Swap/Switch Ticket

1) Load CIX 2) Save as CIX ● Financing ○ Dur/Cvx ○ Tax Rates

Swap Type Risk Settlement ☐ OAS Horizon 10/27/26 ☐ Financing

Security	B/S	Amt (M)	Date	Price	Yield	W	Risk	Price	Yield	W	Rate
HKINTL 5 09/29/29	B	1,000	09/29/26	99.937000	5.022884	W	2.75	100.70000(	4.739243	W	
T 4 3/8 09/15/29	S	1,019	09/26/26	98.320369	4.990000	W	2.70	98.929548	4.775000	W	
Add Security											
			Yield Sprd	Gross	3.29 bp		0.05	Yield Sprd	-3.58 bp		
										B/E	3.20

Return Analysis

Reinvestment Rate 3.960 % Income Tax 40.800 % Capital Gains Tax 23.800 %

4) View Cashflows

	Pre Tax				After Tax			
	Total Return %	HPR %	MMKT %	Net P&L	Total Return %	HPR %	MMKT %	Net P&L
Total	2.124	0.183	2.124	1,835	1.536	0.132	1.536	1,327
HKINTL 5 09/29/29	15.291	1.153	14.819	11,519	10.675	0.812	10.442	8,116
T 4 3/8 09/15/29	-11.887	-0.999	-11.605	-10,029	-8.233	-0.697	-8.096	-6,993

HKINTL 5% 29-SEP-29

HKINTL 5 09/29/29 $ ↓100.644 -.051 100.546 / 100.742 4.796 / 4.723
At 9:44 --x-- Source BGN

All Quotes | HKINTL 5 09/29/2029 REGS Corp | Request Access | Settings

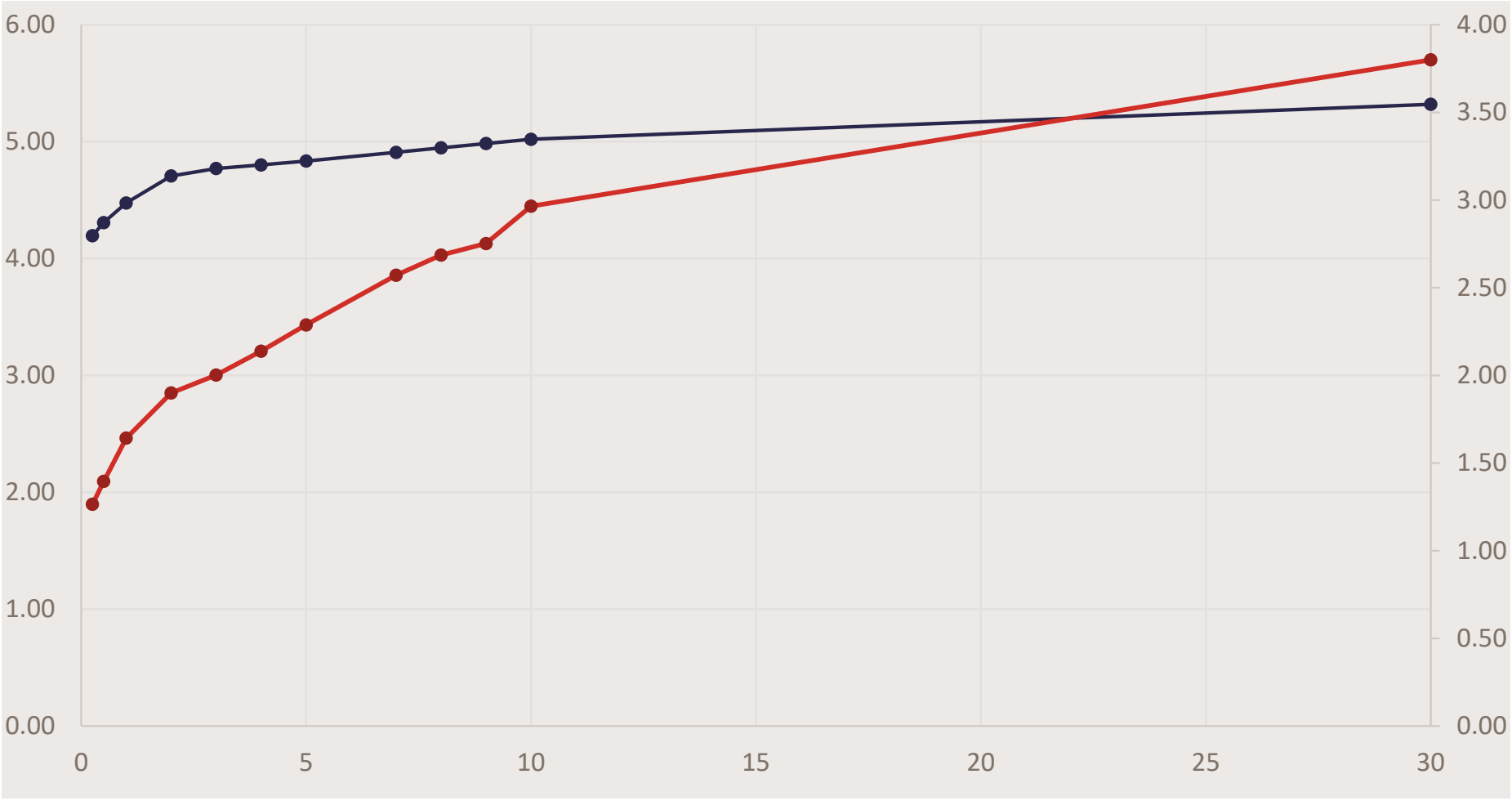
09:44:21 ALLX Overlay Axe Size Split Bid/Offer Switch See What's New in

Spreads vs T 4 7/8 10/15/29 Govt @CBBT 100-08 1/4 / 100-08+ 4.780 / 4.777 09:44

Edit Filters Venue BTBS

Broker	Firm Name	Bid Px / Ask Px	Bid Spd / Ask Spd	BSz(MM) x ASz(MM)	Time
	Total Axe Size	/	/	x	
IBVL	IBVAL Front Office	100.599 / 100.671	-.4 / -3.0	x	09:43
BVAL	BVAL (Score: 10)	100.594 / 100.689	-.2 / -3.4	x	08:00
CBBT	FIT COMPOSITE	100.541 / 100.734	2.1 / -5.1	x	09:44
QMGR	QMGR Last	100.710 / 100.800	4.0 / 1.0	x	10/26
DOR4	BLOOMBERG GENERIC	100.546 / 100.742	1.9 / -5.4	x	09:44
CBHK	CITI EM ASIA	100.551 / 100.659	1.4 / -2.3	1 x 1	09:44
SMNS	SMBC Bank Intl	100.556 / 100.692	*8.0 / 3.0*	1 x 1	09:44
BMLC	Bank of America	100.650 / 100.748	-2.3 / -5.6	1 x 1	09:43
AZCR	ANZ Bank Credits	100.474 / 100.609	11.1 / 6.1	1 x 1	09:41
CTCS	CITIC SECURITIES	100.613 / 100.779	*5.9 /	.5 x .5	09:44
TDCT	TD SECURITIES	100.566 / 100.719	*7.0 / 2.0*	1 x	09:40
DABA	Deutsche Bank Asia	100.552 / 100.687	*7.6 / 3.4*	.5 x .5	09:40

US TREASURY CURVE VERUS JGB CURVE



Source: Bloomberg, October 2026

USD/JPY FORWARD POINTS

Forward Curve					
	Dates	Points Bid/Ask		Forwards Bid/Ask	
ON	10/27/2026	-1.3	-1.0	157.43	157.44
TN	10/28/2026	-1.2	-1.2	157.42	157.42
SP	10/28/2026	157.4	157.4	157.41	157.41
SN	10/29/2026	-1.2	-1.2	157.40	157.40
1W	11/04/2026	-8.8	-8.7	157.32	157.32
2W	11/12/2026	-18.7	-18.6	157.22	157.22
3W	11/18/2026	-26.2	-26.1	157.15	157.15
1M	11/30/2026	-41.1	-40.9	157.00	157.00
2M	12/28/2026	-77.2	-77.0	156.64	156.64
DEC	12/30/2026	-80.1	-79.1	156.61	156.62
BJAN	01/04/2027	-89.2	-88.2	156.52	156.53
3M	01/28/2027	-118.9	-118.7	156.22	156.22
4M	02/26/2027	-155.6	-155.2	155.85	155.86
5M	03/29/2027	-194.9	-194.4	155.46	155.47
MAR	03/31/2027	-197.6	-196.6	155.43	155.44
BAPR	04/01/2027	-199.5	-198.5	155.42	155.43
6M	04/28/2027	-233.4	-232.8	155.08	155.08
JUN	06/30/2027	-314.2	-313.2	154.27	154.28
BJUL	07/01/2027	-316.1	-315.1	154.25	154.26
9M	07/28/2027	-349.9	-348.9	153.91	153.92
SEP	09/30/2027	-429.8	-428.7	153.11	153.12
BOCT	10/01/2027	-431.6	-430.6	153.09	153.10
1Y	10/28/2027	-464.3	-463.3	152.77	152.78

Source: Bloomberg, October 2026

BLOOMBERG PAGE FXFA

Same Currency | Multi-Currency | Central Bank

Currencies USD ↔ JPY -- via -- Pricing Date 10/26/26 | Auto Refresh | Direct Input | Show Outrights

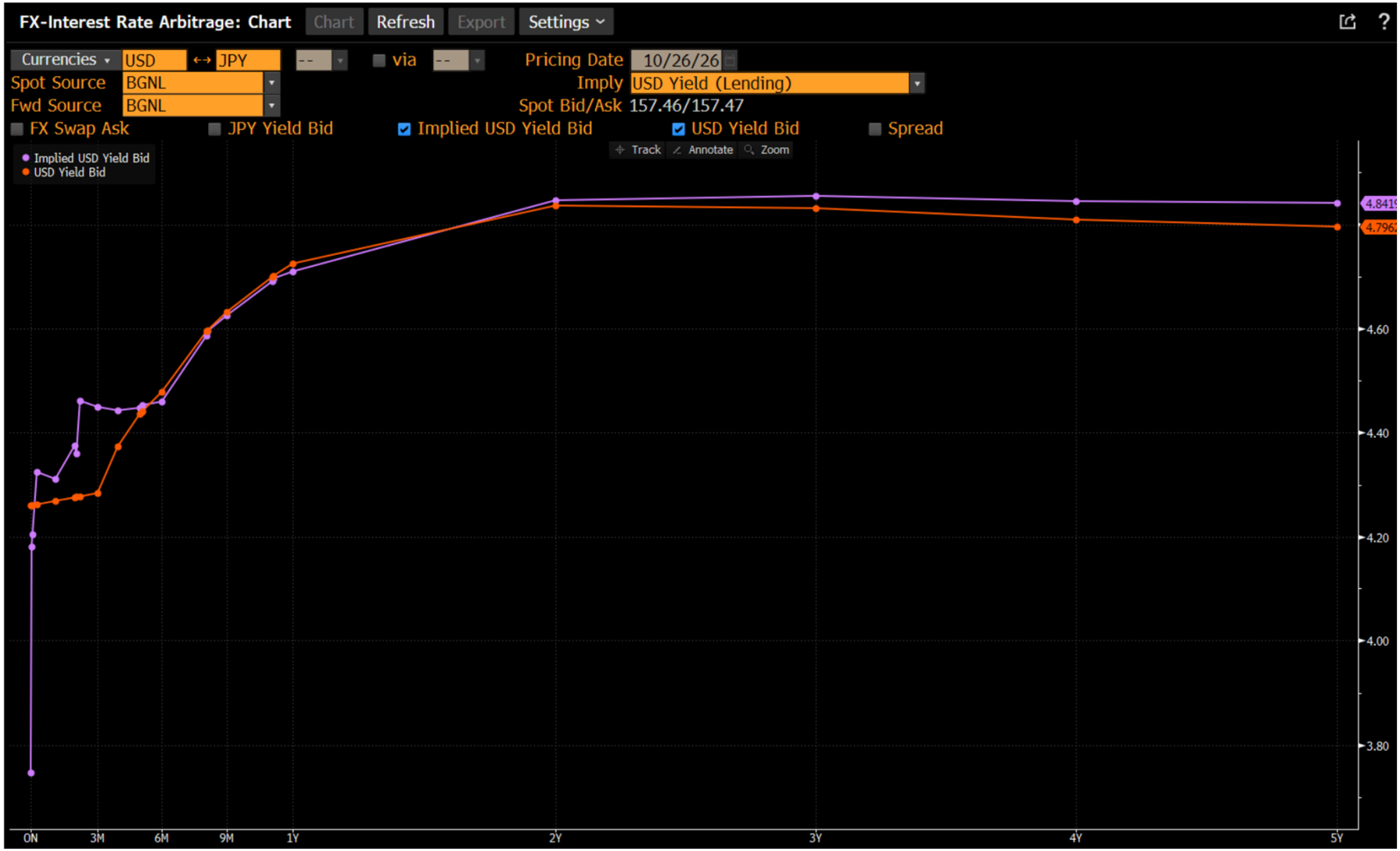
Spot Source BGNL | RFQ | CNF

Fwd Source BGNL

Imply USD Yield | FX Swap to USD Depo

		7) FX Swap		8) USD Yield		9) JPY Yield		USD Implied Yield		Spread	
Term	Date	Bid	Ask	Bid	Ask	Bid	Ask	Bid	Ask	Bid	Ask
10) ON	10/27/26	157.47194	157.48523	4.2604	4.2652	1.4611	1.4710	3.7703	4.4431	-0.4901	0.1779
11) TN	10/28/26	157.46184	157.47223	4.2604	4.2652	1.4611	1.4710	4.1684	4.2673	-0.0920	0.0021
12) SP	10/28/26	157.45	157.46								
13) SN	10/29/26	157.43775	157.44805	4.2604	4.2652	1.4611	1.4710	4.1935	4.2722	-0.0669	0.0070
14) 1W	11/04/26	157.3619	157.3725	4.2619	4.2667	1.4613	1.4712	4.3216	4.3513	0.0597	0.0846
15) 1M	11/30/26	157.0393	157.0507	4.2684	4.2733	1.4620	1.4720	4.3089	4.3289	0.0405	0.0556
16) 2M	12/28/26	156.6772	156.6893	4.2755	4.2804	1.4629	1.4728	4.3729	4.3910	0.0974	0.1106
17) DEC	12/30/26	156.6484	156.6684	4.2760	4.2809	1.4629	1.4729	4.3576	4.4045	0.0816	0.1236
18) BJAN	01/04/27	156.5569	156.5769	4.2773	4.2822	1.4631	1.4730	4.4573	4.5015	0.1800	0.2193
19) 3M	01/28/27	156.2600	156.2728	4.2834	4.2883	1.4638	1.4737	4.4476	4.4649	0.1642	0.1766
20) 4M	02/26/27	155.8931	155.9069	4.3735	4.3784	1.4646	1.4746	4.4430	4.4607	0.0695	0.0823
21) 5M	03/29/27	155.5002	155.5152	4.4354	4.4403	1.4656	1.4756	4.4458	4.4638	0.0104	0.0235
22) MAR	03/31/27	155.4725	155.4926	4.4387	4.4435	1.4656	1.4756	4.4419	4.4677	0.0032	0.0242
23) BAPR	04/01/27	155.4533	155.4733	4.4403	4.4452	1.4657	1.4756	4.4523	4.4778	0.0120	0.0326
24) 6M	04/28/27	155.1145	155.1305	4.4782	4.4831	1.4665	1.4765	4.4588	4.4770	-0.0194	-0.0061
25) JUN	06/30/27	154.3041	154.3243	4.5945	4.5994	1.5684	1.5784	4.5859	4.6063	-0.0086	0.0069
26) BJUL	07/01/27	154.2848	154.3050	4.5960	4.6008	1.5697	1.5796	4.5940	4.6142	-0.0020	0.0134
27) 9M	07/28/27	153.9485	153.9686	4.6320	4.6369	1.5991	1.6091	4.6256	4.6450	-0.0064	0.0081
28) SEP	09/30/27	153.1471	153.1673	4.7012	4.7052	1.6509	1.6609	4.6911	4.7090	-0.0101	0.0038
29) BOCT	10/01/27	153.1282	153.1484	4.7021	4.7062	1.6516	1.6616	4.6967	4.7145	-0.0054	0.0083
30) 1Y	10/28/27	152.8021	152.8221	4.7262	4.7299	1.6682	1.6782	4.7121	4.7294	-0.0141	-0.0005
31) 2Y	10/30/28	148.5477	148.6078	4.8464	4.8493	1.9230	1.9330	4.8569	4.8844	0.0105	0.0351
32) 3Y	10/29/29	144.8531	144.9569	4.8470	4.8497	2.0655	2.0732	4.8685	4.8986	0.0215	0.0489
33) 4Y	10/28/30	141.5400	141.6900	4.8282	4.8308	2.1788	2.1845	4.8635	4.8947	0.0353	0.0639
34) 5Y	10/28/31	138.5248	138.6852	4.8173	4.8198	2.2807	2.2866	4.8653	4.8937	0.0480	0.0739

US RATES VERSUS FX FORWARD IMPLIED



3-MONTH FX HEDGE JPY / USD

- Buy and sell JPY versus USD, spot out to 3-months
- 3m US Dollar rate is 4.28%, 3m Japanese yen rate is 1.47%
- Spot rate is 157.45, 3m forward rate is 156.25 (-120 points)
- 10-year JGB yield in JPY is 2.97%
- 10-year JGB yield currency hedged to USD is around 6%

JGB PROJECTED RETURN



CALCULATE 3M RETURN HEDGED JGBS

- USD 1,000,000 starting value
- FX swap, near leg at 157.45 so JPY balance JPY 157,450,000
- Purchase 10-year JGBs (JGB 3.1% 20-Sep-2036) at 2.97%
- For unchanged yield, the 3-month return is 0.752%
- JPY value after 3 months is JPY 157.45m x 1.00752 = JPY 158.63m
- Far leg of FX swap is fixed at 156.25 so USD value is USD 1,015,250
- 3m return is 1.53%, which is 6.26% annualised

RISKS

What could have gone wrong with this strategy?

- Could a change in the spot FX rate impact this strategy?
- How important is the horizon yield for the JGBs?
- What is the significance of the 10-year yield spread between UST and JGBs?
- How much additional risk would there be if we purchased JGBs unhedged?

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